

Bloomberg Automated Summary

Coca-Cola Co/The Earnings Call

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04/29/25

Guidance

- The company maintained its 2025 full-year guidance of 2-3% comparable EPS growth versus \$2.88 in 2024
- For 2025, they expect:
 - 5-6% organic revenue growth
 - 7-9% comparable currency-neutral EPS growth
 - 2-3 point currency headwind to revenues
 - 5-6 point currency headwind to EPS
 - 20.8% underlying effective tax rate
- Key considerations for 2025 include:
 - Tougher volume comparisons in Q2
 - Productivity benefits weighted to latter half of year
 - One additional day in Q4

Margin Story

- Q1 saw both comparable gross margin increase of 30 basis points and comparable operating margin increase of 130 basis points, driven by underlying expansion and bottler refranchising benefits, though partially offset by currency headwinds
- Operating margins reached historically strong levels in Q1 2025, with analysts noting it was the best operating margin delivery in their modern tracking period
- In North America specifically, the company has been on a multi-year journey to improve margins through:
 - Strengthening the core business
 - Better revenue growth management
 - Addition of fairlife to the portfolio
- Management sees opportunity to further expand margins globally over time, with a goal of maintaining operating margins above 30-31%

AI Strategy

- The only substantive mention of AI in the earnings call was in the context of marketing efficiency, where generative AI is being used to improve the development of advertising creative content and media planning.

Material Costs

- The company faces some exposure to tariffs on certain input materials in the US, particularly for orange juice, dispensing equipment, and their bottling system has exposure to resin and aluminum, though these are described as "small pieces relative to the total size"
- When considering material cost impacts from tariffs, the company looks at multiple factors including underlying commodity prices, exchange rates, and hedging positions

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Inventory

- The closest related topic was a brief mention of potential supply chain disruptions, but this was discussed in a broader economic context rather than specifically about inventory:

Competition

- The company won market share across multiple metrics, including overall share, at-home, and away-from-home channels
- While barriers to entry in the beverage industry are low, the company views barriers to scale as high, which they see as a competitive advantage
- The company views their portfolio of 30 billion-dollar brands and extensive distribution network as key competitive differentiators

Market Share

- The company won value share across three key metrics: overall share, at-home, and away-from-home
- In North America, they won value share despite volume challenges
- In Asia-Pacific regions like ASEAN, they won value share despite volume declines
- In Japan and South Korea, they won value share with strong performance from Ayataka Tea

ESG Strategy

- The company noted that 30% of their volume comes from low or no-calorie beverages, and 68% of their portfolio has less than 100 calories per 12-ounce serving, showing some focus on healthier options

Capital Allocation

- The document contains minimal direct discussion of buybacks, dividends and capex. The only relevant mention is that the company prioritizes dividend support in its capital allocation strategy

M&A

- The only notable M&A-related mention was regarding fairlife, where Coca-Cola made their final payment of \$6.2 billion for the acquisition, with fairlife continuing to show strong performance

Labor

- The company has approximately 6 million people across its ecosystem when including suppliers
- The company's ecosystem contributes significantly to employment in key markets:
 - Approximately 860,000 jobs in the US
 - Approximately 575,000 jobs in Brazil
- The company emphasized that their business model is locally-focused in terms of employment, with local employees making products in each country

Macro Environment

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- The external environment was dynamic and complex, with some markets improving while others faced macroeconomic uncertainty and geopolitical tensions impacting consumer confidence
- Consumer sentiment weakened in North America as Q1 progressed, particularly among Hispanic consumers, though consumer spending remained robust
- Double-digit inflation was noted in Africa, where the company responded with affordability measures
- In Mexico, consumer sentiment was diminished partly due to geopolitical tensions
- China was experiencing a deflationary environment according to other consumer companies
- The company noted potential impacts from global trade tensions on consumer sentiment and their systems' cost structure

Supply Chain

- The company does not expect significant supply chain disruptions for their own business in Q2 2025 in the US, though there may be broader disruption in other industries as evidenced by container shipping bookings
- The company's business model is primarily local, with beverages largely produced in each country using local inputs
- Their exposure to import-export trade is relatively small in major countries, though they do have some exposure to inputs like orange juice, dispensing equipment, and their bottling system has some exposure to resin and aluminum

Pricing

- The company achieved 5% price-mix growth in Q1, driven primarily by pricing actions, though this was partially offset by approximately 1 point of unfavorable mix
- Pricing contribution from high-inflation markets has decreased significantly, now contributing only 1 point to price-mix growth versus 5 points in 2024
- In response to consumer challenges, the company is emphasizing affordability through value packages and refillable offerings in several markets:
 - Mexico
 - Africa
 - ASEAN region
- For North America specifically, the company is maintaining its current pricing plans for the year despite trade tensions and tariff considerations

Product Development

- The company launched Coca-Cola Orange Cream in the US which generated approximately \$50 million in retail sales in Q1
- Simply Pop, their first prebiotic soda, was launched in select locations and channels across the US in late February
- Fuze Tea saw expansion with new launches in Spain and Canada
- The company is focusing on fewer but bolder innovation launches to improve success rates
- Growth of fairlife brand is expected to moderate in 2025 until additional production capacity comes online

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